through broker, brokers commission should be accounted as capital expenditure and should be included in the cost of patent. Similarly, when patents are received through research, research expenses should also be capitalised. On the other hand, he should ensure that renewal fees paid should not be capitalized but instead should be treated as revenue expenditure. He should also ensure that lapsed patents have been written off from the books of accounts.

Documents to be Vouched:
(1) List of Patents and Copyrights (2) Patent and Copyright Agreement (3) Registration Certificates (4) Document of Assignment (5) Receipts.

7.6 Bills Payable

The auditor should vouch the entries in the Bills Payable Book and the Bank Pass Book if payment is made by bank. He should ensure that bills when honoured on the date of maturity and returned by the payee after receiving the payment should be properly cancelled after payment.

Documents to be Vouched:
(1) Bills payable book (2) Pass book and (3) Receipts.

7.7 Bills Receivable Discounted and dishonoured

Sometimes the bills receivable discounted with the bank is dishonoured by the drawee. In such a case, the amount of bill has to be paid to the bank. If the account is maintained with the same bank, bank may debit the account of customer instead of receiving payment. Auditor should obtain a schedule of bills discounted dishonoured and examine the same. He should verify dishonour of bills discounted with bank's advice. The bank also returns the bill. The payment side of the cash book can be checked for the dishonour of such bill with bank's advice and amount of bill plus any charges incurred thereon. The auditor should verify entries for dishonour passed in the parties account. He should confirm whether bank charges, noting charges etc., have been debited to concerned customer's account.

Documents to be Vouched:
(1) Bank advice (2) Dishonoured bill and (3) Pass book.

7.8 Directors Fees

Directors of a company are paid fees for attending the Board meetings, they are known as Directors fees or Sitting fees. Directors are entitled to get remuneration only when the Articles of Association of the company provide. Hence the auditor should examine the Articles and the resolution passed by the shareholders in the general meeting. Auditor should check the attendance register which will provide the name of directors who attended the board's meetings and the minutes of the Board meeting to confirm the presence of the directors for payment of remuneration. He should ensure that amount paid towards fees or remuneration to directors is shown separately in the Profit and Loss account.

Documents to be Vouched:
Articles of association, Minutes book, Attendance register, Resolution passed by shareholders.

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